

From: Heather Baisch
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To: 'Ryan.Moore@providence.org'; Debra Tucker; Kal, Khadeja
Subject: Premera Blue Cross Announces Individual Market Changes for 2017

Beginning Jan. 1, 2017, Premera Blue Cross will no longer offer individual plans in the following 14 counties: Chelan, Douglas, Ferry, Kittitas, Klickitat, Lewis, Lincoln, Mason, Pend Oreille, San Juan, Skagit, Skamania, Stevens, and Yakima. Premera has never offered plans in Clark County.

Premera Blue Cross Announces Individual Market Changes for 2017

- At Premera Blue Cross, we are committed to making healthcare work better for the people we serve. To do that, we believe healthcare needs to be:

- Available to as many as possible through plans that are affordable
- Delivered by doctors, hospitals and other providers who share our commitment to improve quality and deliver exceptional customer experience
- Sustainable over time so people can count on the services they need

It has been only three years since individuals and families could purchase plans through the Washington Health Benefit Exchange. When Premera started offering plans on the exchange, we were prepared to weather short-term marketplace volatility. We also expected a high learning curve, because products and rates were set without any customer or market data. We knew we would need to adjust as conditions evolved and more customer information became available.

As we head into 2017, we are still very much in the start-up phase, with providers and health plans across the nation searching for the right business models that deliver excellent patient care and customer experience, while also assuring long-term stability. Now with two years of data, we have filed changes for 2017 that we believe will begin to moderate rising costs, increase efficiency, and enable us to continue to offer competitive rates for our Washington members. And over time, we'll make healthcare work better.

Here's a closer look at what's ahead for the individual market beginning Jan. 1, 2017.

Health plans offered in 24 counties and only on the Washington Health Benefit Exchange

Our 2017 individual products will be offered only on the exchange, where growth has been significant. The exchange allows customers to quickly compare health plans and learn if they are eligible for premium subsidies. We will continue to offer our most popular products and services, including two free covered-in-full visits at a member's designated primary doctor on select plans. We will eliminate products and services customers have indicated they are not willing to pay for, and our products will steer to lower cost, in-network services.

Where we cannot offer in-network services at a reasonable cost, we will exit the service area. Beginning in January 2017, our individual market reach will be reduced from 38 to 24 counties. This change will impact only individual plan members who represent less than 2 percent of Premera's 900,000 customers statewide.

In-network coverage with exclusive provider organization (EPO) and PersonalCare plans

Our data shows that the highest quality and most efficient services are delivered by in-network providers in our service area. To maintain our focus on quality and cost, we will offer EPO plans in the majority of the state and PersonalCare Plans exclusively in King and Pierce counties. PersonalCare Plans also will be available in Snohomish County. Only emergency services will be covered for members when out of area or network.

Premera launched PersonalCare Plans in 2016. With the financial relationship between the provider and Premera focused on quality of care, access to service, and the patient experience, PersonalCare Plans have the potential to make healthcare work better.

Network providers

Our Premera Heritage Signature network will continue to provide members with access to quality, local care. The number of providers in the Heritage Signature network in 2017 will be larger than when we started offering the network in 2014, but there will be some changes for those members who had the Heritage Signature network in 2016. CHI Franciscan Health and Providence Health & Services systems will leave Premera's Heritage Signature network in January 2017.

Members will need to play an active role in understanding their in-network options, and we will work to make it simple for them. Our Find a Doctor tool (at Premera.com) is an excellent resource for members to check which providers are in-network.

Premiums: Even with the changes in plan designs, geographic availability and network, we will need to raise premiums in 2017. We have filed for increases of 20 percent for Premera plans.

Resources for you

- With so many new changes planned for 2017, we know you will have questions. We have put together a producer FAQ, which you'll find by scrolling down this page. If you have questions after you review this information, please reach out to your Premera account manager.
 - We also will be highlighting our new approaches for 2017 in Producer News, our e-newsletter that is sent to your inbox each month. You can find copies of Producer News on our producer news site.
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While health plans across the nation are exiting the individual market completely, Premera remains committed to serving the individual market in Washington. We believe we owe it to our members to continually assess how we are delivering on our commitment to make healthcare work better - and to change course if needed. Thank you for your partnership in making it as simple as possible for our members.

* Beginning Jan. 1, 2017, Premera Blue Cross will no longer offer individual plans in the following 14 counties: Chelan, Douglas, Ferry, Kittitas, Klickitat, Lewis, Lincoln, Mason, Pend Oreille, San Juan, Skagit, Skamania, Stevens, and Yakima. Premera has never offered plans in Clark County.

** More details about network coverage are available in the producer FAQ.

Frequently asked questions

In the individual market, what changes are planned for the 2017 plan year?

To help moderate rising costs, increase efficiency and enable us to continue to offer competitive rates for our Washington members, Premera is proposing:

- Sell health plans for individuals and families only through the Washington Health Benefit Exchange
 - Streamline our product portfolio to increase focus on PersonalCare Plans, which will be offered exclusively in King and Pierce counties. PersonalCare Plans will continue to be options in Snohomish County
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- Offer only exclusive provider organization (EPO) plans in other Washington counties
 - Eliminate the multi-state plan
 - Reduce our individual market reach in Washington from 38 to 24 counties
 - Make changes to our provider networks to help keep our health plans affordable, while continuing to provide access to quality care
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Why is Premera making these changes?

When Premera first offered plans on the exchange, we were prepared to weather short-term marketplace volatility. We also expected a high learning curve, because products and rates were set without any customer or market data. We knew we would need to adjust as conditions evolved and more customer information became available.

As we head into 2017, we are still very much in the start-up phase, with providers and health plans across the nation searching for the right business model that delivers excellent patient care and customer experience, while assuring long-term stability. Now with two years of data on hand, we have filed changes for 2017 that we believe will begin to moderate rising costs, increase efficiency, and enable us to continue to offer competitive rates for our Washington members.

Why are you offering health plans for individuals and families only through the exchange?

Our data shows that a majority of individual market members choose to shop for and buy their plans on the Washington Health Benefit Exchange, where they can quickly compare health plans and learn if they are eligible for premium subsidies. We are committed to supporting the exchange.

Why are you focusing your strategy on exclusive provider organization (EPO) and PersonalCare plans?

Our data shows that the highest quality and most efficient services are delivered by in-network providers in our service area. To maintain our focus on quality and cost, we will offer EPO plans in the majority of the state and PersonalCare Plans exclusively in King and Pierce counties. PersonalCare Plans also will be available in Snohomish County. Only emergency services will be covered for members when out of area or network. Premera launched PersonalCare Plans in 2016. With the relationship between the member, provider and Premera focused on quality of care, access to service, and the patient experience, PersonalCare Plans have the potential to improve the way healthcare is delivered.

Which counties are you exiting?

Premera will no longer offer individual plans in the following 14 counties in Washington: Chelan, Douglas, Ferry, Kittitas, Klickitat, Lewis, Lincoln, Mason, Pend Oreille, San Juan, Skagit, Skamania, Stevens, and Yakima. Premera has never been available in Clark County.

Why are you exiting those counties?

This change will impact less than 2 percent of Premera's 900,000 customers statewide, most of whom are insured through Medicare or group plans through their employer. If we chose to continue to offer Individual coverage in those counties, we would have to significantly raise rates for members in other counties, which would adversely impact all individual members across the state.

Are you exiting your Medicare Supplement or Medicare Advantage and group business in those counties too?

No. We are only exiting these counties in the individual market.

Will your decision to exit several counties result in reduced access to quality healthcare providers?

Individuals in those areas have the option to select other health plans that provide coverage.

What specific changes are you making to your provider networks?

CHI Franciscan Health and Providence Health & Services systems will no longer participate in Premera's Heritage Signature network for individual members in Washington beginning January 1, 2017. This includes Swedish, Sacred Heart, and Holy Family hospitals and facilities.

There is one exception: Harrison Medical Center (hospital and professionals affiliated with CHI Franciscan Health) in Bremerton will remain in-network due to its location where members have few or no other in-network options for care.

Premera recently reached new agreements with 3 major healthcare providers in the Northwest: Evergreen Health, MultiCare Health System, and Northwest Medical Specialties.

These changes do not affect our Medicare Advantage or Medicare Supplement plans and all of the Swedish, Providence and CHI Franciscan Health systems continue to be in the Heritage Plus network.

Why are these provider groups no longer in the Premera Heritage Signature network?

Every year we reassess the plans we offer, our relationships with our provider partners, healthcare cost experience, where and how we offer the plans and the price we need to charge for the plans to be sustainable in the market. Each year our provider partners also assess whether continued participation in the network for our plans aligns with their organization goals.

Do these network limitations apply to emergency services?

Emergency services are covered under the in-network benefit regardless of provider. Providers who are not contracted with Premera may balance-bill members.

Are the doctors who use these facilities still in network?

We are evaluating each of these facilities to ensure that there is appropriate access to in-network doctors. Members should check Premera.com to see if their doctor is in the network for their plan.

Are Medicare Advantage and Medicare Supplement plans impacted?

No. Our Medicare Advantage and Medicare Supplement plans are not affected by these changes.

Can members keep their coverage off exchange?

Current members who bought one of Premera's three PersonalCare Plans off exchange will be able to renew. The six PPO plans that were sold off exchange in 2016 will be discontinued on Dec. 31. Off-exchange members will not be mapped to another plan, and will need to visit the exchange to purchase a new policy. We will provide directions to you and your clients as Open Enrollment nears.

Who are the partner systems in the PersonalCare Plans today and are you expanding?

Our PersonalCare Plans include Evergreen Health, Multicare, Northwest Physicians Network, UW Medicine, and Virginia Mason. We are continually seeking new opportunities to grow these relationships in ways that improve the care and experience of our members. Several new initiatives are in the planning stage and we hope to share them with you and your clients soon.

Are rates increasing?

Premera is asking the Washington State Office of the Insurance Commissioner for approval of an average rate increase of 19.9 percent for Premera Blue Cross plans in the individual market in 2017.

Are producer commissions changing?

Premera's commission structure for individual market sales will align with our preferred producer program, which we will roll out in the next couple of months.

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